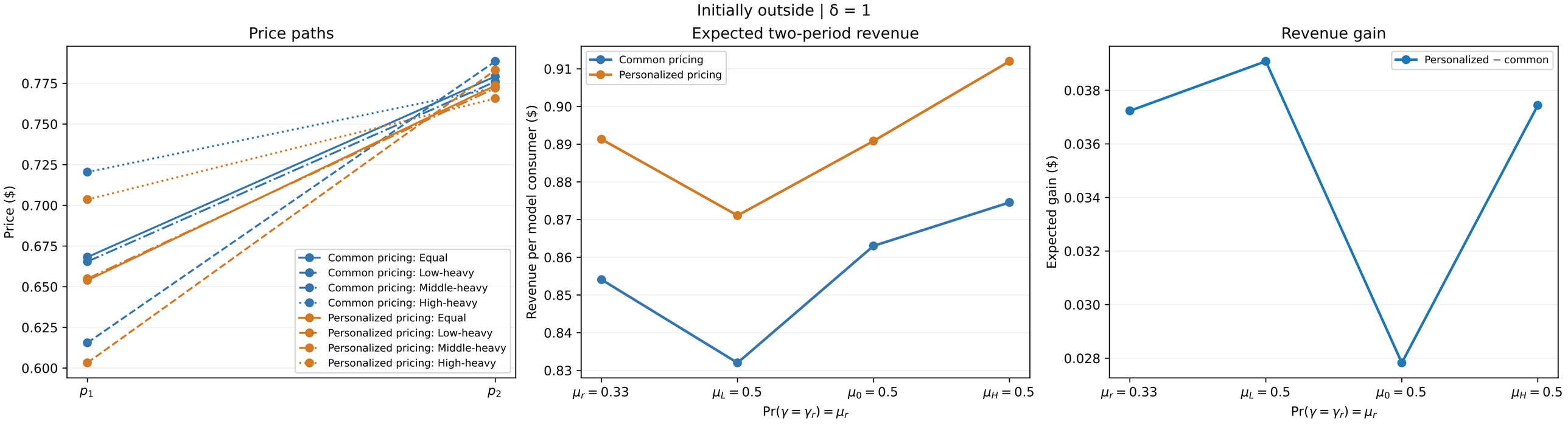
Initially outside | δ = 1
Price paths
Price ($)
0.775
0.750
0.725
0.700
0.675
0.650
0.625
0.600
p_1
p_2
Common pricing: Equal
Common pricing: Low-heavy
Common pricing: Middle-heavy
Common pricing: High-heavy
Personalized pricing: Equal
Personalized pricing: Low-heavy
Personalized pricing: Middle-heavy
Personalized pricing: High-heavy
Expected two-period revenue
Revenue per model consumer ($)
0.91
0.90
0.89
0.88
0.87
0.86
0.85
0.84
0.83
Common pricing
Personalized pricing
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Expected gain ($)
0.038
0.036
0.034
0.032
0.030
0.028
Personalized − common
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$